OLLSCOIL NA hÉIREANN, CORCAIGH
THE NATIONAL UNIVERSITY OF IRELAND, CORK

COLÁISTE NA hOLLSCOILE, CORCAIGH
UNIVERSITY COLLEGE, CORK

Examination Session and Year	Autumn 2020
Module Code	AC4407
Module Title	Financial Reporting 1
Paper Number	1
External Examiner	Dr Omiros Georgiou
Head of School/ Department	Professor Mark Mulcahy
Internal Examiners	Ms. Eimear McGeown
Instructions to Candidates	Answer **ANY TWO** out of the four questions in the exam paper. **All questions are worth 50 marks in total.** Show all workings clearly. This exam is worth 100% of this module. Separate answer books are not required.
Duration of Paper	1.5 hours
Special Requirements	***15 minutes reading time is allowed*** ***The use of a non-programmable calculator is permitted.***

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Question 1

Conker Plc is a large quoted company. Financial details for this company are as follows:

Conker Plc		
TRIAL BALANCE		
as at 31 December 2X19		
	€mn	€mn
Buildings at cost	500	
Equipment at cost	300	
Accumulated depreciation buildings		60
Accumulated depreciation equipment		100
Corporation tax		10
Trade receivables	120	
Bank and cash	100	
Provision for bad (doubtful) receivables		5
Inventories at 1 January 2X19	18	
Trade payables		40
Administration expenses	28	
Distribution costs	25	
Purchases	70	
Revenue		290
Ordinary share capital - €1 shares		300
Share premium Account		66
Debenture (at 10%)		100
Retained earnings as 1 Jan 2X19		200
Dividends paid	10	
	1,171	1,171

Additional Information:

1. Inventory at 31 December 2X19 amounted to €15 million. Included within this balance are inventory items valued at a cost of €2 million. This inventory was sold in January 2X20 at a selling price of €3 million.
2. On 20 February 2X20 Conker Plc issued 2 million €1 ordinary shares at €1.50 each.
3. The directors proposed an ordinary final dividend of 10 cent per share.

4. The tax charge in the trial balance relates to an over provision of corporation tax for the year ended 31 December 2X18. Taxation for the year ended 31 December 2X19 is estimated to be €36 million.
5. Buildings previously stated at cost, were valued on 1 January 2X19 at €600m. The useful economic life of the building at that date was assessed to be 25 years and depreciation is to be allocated to administration expenses.
6. Equipment is depreciated at 20% reducing balance basis and allocated to distribution costs.

Required: In a form suitable for publication under IAS 1, prepare for Conker Plc, the statement of profit or loss and other comprehensive income and the statement of financial position as at 31 December 2X19

<u>Total 50 Marks</u>

Question 2

This question has THREE parts, part A, part B and part C.

<u>PART A</u>

Required: Critically discuss the arguments for and against the capitalisation of borrowing costs as part of an asset's cost. Refer to the relevant financial reporting regulations on this issue.

(20 Marks)

<u>PART B</u>

M Ltd manufactures product T. In the year ending 31 December 2X19, M Ltd manufactured 10,000 units of product T, incurring the following costs;

- Raw Material: 20,000 units of raw material Z @ €8 per unit (exclusive of VAT and trade discounts).
- Direct Labour: 40,000 direct labour hours were required for conversion at a rate of €5 per hour
- Fixed production overheads for the year of €180,000 (including depreciation of machinery €10,000) were incurred and paid in full.

The level of production of 10,000 units was somewhat less than M. Ltd.'s normal level of activity of 12,000 units. 2,000 finished goods were in inventory at 31st December 2X19.

Required: What value should be placed on inventory of product T at 31 December 2X19.

(10 Marks)

<u>PART C</u>

On 1 January 2X18 Klopp Ltd purchased an item of equipment for €500,000. A grant was received in relation to the piece of equipment on 1 January 2X18, which amounted to €100,000. All conditions attaching to the grant were complied with at that date. The asset is depreciated on a straight-line basis over five years. Klopp Ltd's policy is to treat the grant as deferred income.

On 31 December 2X19, it became apparent that not all of the conditions relating to the grant had been complied with and the grant will now have to be repaid in full. The depreciation and amortisation charges have been recorded for the year ended 31 December 2X19.

Required

a) Prepare the extract from the statement of financial position as at 31 December 2X18.

b) Prepare the journal entries to recognise the repayment of the grant in 2X19.

(20 Marks)

Total 50 Marks

Question 3

This question has two parts.

Part A:

Wall and Gate are in partnership, sharing profits 1:2, after interest on capital of 5%. Partners are charged 12% interest on cash drawings.

At 1 January 2019 the capital account and current account balances on the partners were as follows:

	Capital Account €	Current Account €
Wall	20,000	10,000
Gate	40,000	19,000

Cash drawings which accrue evenly throughout the year to 31 December 2019, were as follows:

Drawings €	
Wall	4,000
Gate	8,000

The partners introduced additional capital in the year, Wall introduced €12,000 on 1 April 2019 and Gate €24,000 on 1 September 2019.

Profit for the year ended 31 December was €230,000 after adjusting for goods valuing €2,000 that were taken by Wall. Gate is guaranteed a residual share of profit of €69,000

Required: For the year ending 31 December 2019

(i) Prepare the profit appropriation account,

(ii) Prepare the partners capital and current account in T accounts format.

(25 marks)

Part B:

In order for financial statements to be useful, the financial information contained therein must yield certain qualitative characteristics as stipulated by the IASB's "Conceptual Framework for Financial Reporting" 2018.

Required: Discuss the fundamental and enhancing qualitative characteristics. **(25 marks)**

<u>Total 50 Marks</u>

Question 4

The following are the Statement of Financial Position of Salah Plc as at 31 December 2X18 and 2X19:

Salah Plc			
Statement of Financial Position as at 31 December:			
	2X19		**2X18**
	€mn		**€mn**
Assets			
Non-current assets			
Land	1,200		1,000
Plant & Equipment (Note 1)	1,681		1,575
Current assets			
Inventories	100		75
Trade Receivables	69		45
Investments	50		10
Cash	100		20
	3,200		2,725
Equity and Liabilities			
Equity			
Ordinary Share Capital @ €1	2,000		1,900
Revaluation Reserve	200		
Retained earnings	600		520
Non-current liabilities			
10% Debentures	300		180
Current liabilities			
Trade Payables	90		110
Tax	10		15
	3,200		2,725

Additional Information:

1. Equipment, costing €50 million was sold on 1 November 2X19 for €10 million. Accumulated depreciation on the equipment was €32 million.
2. Corporation tax charge for the year was €19 million.
3. Additional debenture loan was all raised on 1 April 2X19.

4. The proposed dividend at 31/12/2X18 was €10 million and at 31/12/2X19 it was €12 million.
5. The Investments are deposit accounts and are repayable on demand.
6. The carrying amount on the Plant & Equipment is made up as follows:

	Cost	Accumulated Depreciation	Carrying Amount
	€'000	€'000	€'000
Year end 31 December 2X18	1,950	375	1,575
Year end 31 December 2X19	2,200	519	1,681

Required: In line with IAS 7 "Cash-flow Statements" prepare the Statement of Cash-flow for Salah Plc for the year ended 31 December 2X19.

<u>Total 50 Marks</u>

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